Economics & Strategy

DBS Flash

Taiwan: Navigating oil price shocks

Economics/growth/monetary

Group Research

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- Taiwan is highly exposed to oil price shocks amid the Iran conflict, with heavy reliance on thermal power, almost entirely imported, and a large share of crude oil and LNG sourced from the Middle East.

- Direct export exposure to the Middle East is minimal, while structural technology trends continue to support Taiwan's exports.

- An oil price shock would pressure Taiwan's "Goldilocks" mix of strong growth and contained inflation, but is far from causing stagflation.

- The central bank retains monetary policy flexibility.

- **Forecast implications:** We maintain our 2026 GDP growth forecast of 7.0%, while seeing upside risks to our inflation forecast of 1.5%.

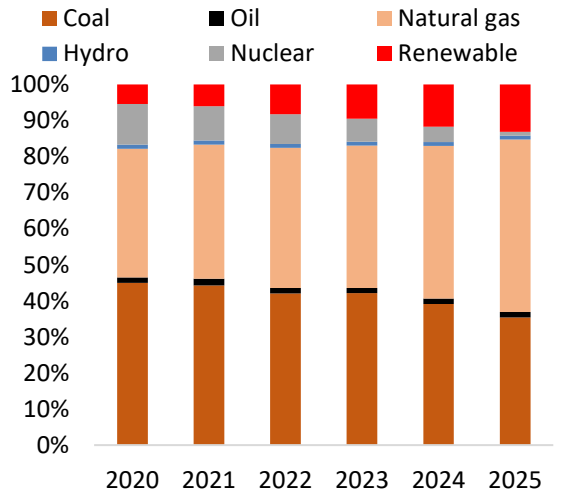
The ongoing conflict involving Iran and the US/Israel has immediately impacted global energy markets and maritime trade. Roughly 20–30% of the world's crude oil and liquefied natural gas (LNG) passes through the Strait of Hormuz, and disruptions there have reduced the flow of Middle Eastern oil and LNG. Markets have responded, pushing Brent crude and other benchmarks higher. Meanwhile, insurers have withdrawn war-risk coverage, and major carriers have suspended Gulf transits, creating vessel backlogs and higher freight costs. Alternative routes around Africa increase transit time and costs, although shipping and logistics are gradually adjusting to these challenges.

Energy exposure

Taiwan is highly exposed to oil price shocks due to its energy structure. **The island relies heavily on thermal power**, which accounts for around 85% of electricity generation. Although renewable capacity has expanded in recent years, much of the increase has offset the phase-down of nuclear power rather than materially reducing fossil fuel dependence.

Nearly all thermal fuel inputs are imported. Net fuel imports accounted for around 4% of nominal GDP in 2025, among the highest ratios in Asia, leaving the economy sensitive to sustained increases in global energy prices and shipping costs.

Taiwan: Electricity supply



Sources: CEIC, DBS

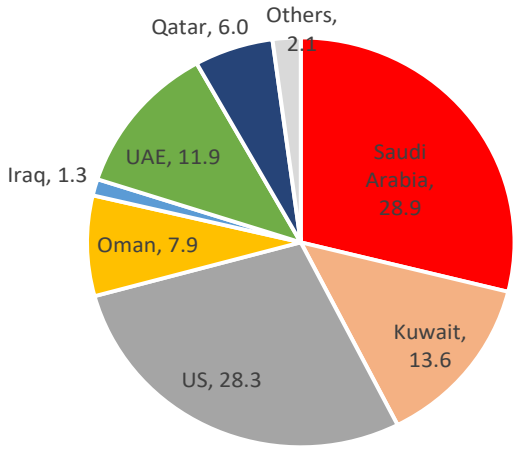
Asia: Net fuel imports/nominal GDP (2025)

Sources: CEIC, DBS

Taiwan sources roughly 70% of its crude oil from the Middle East—particularly Saudi Arabia, Kuwait, and the UAE—**and about 30% of its LNG from Qatar**. A prolonged disruption in Hormuz would tighten supply and raise costs, although strategic reserves and diversified suppliers reduce the risk of severe shortages.

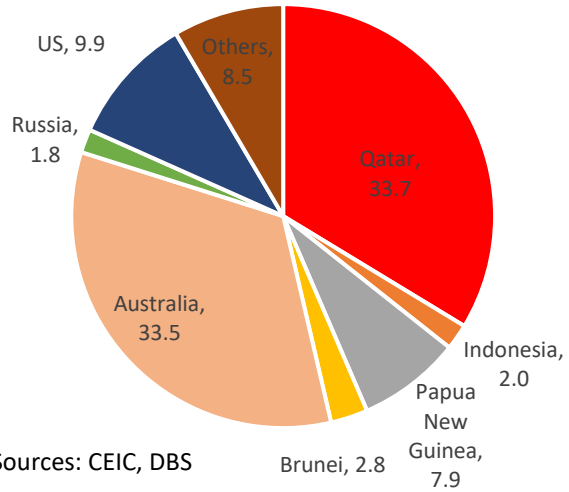
Higher input costs would raise electricity tariffs and production costs, particularly for energy-intensive sectors such as petrochemicals, steel, and semiconductor fabrication. Households would face higher energy bills, although government subsidies and ongoing wage growth should help cushion the impact.

Taiwan: Crude oil imports by source (2025)



Sources: CEIC, DBS

Taiwan: LNG imports by source (2025)

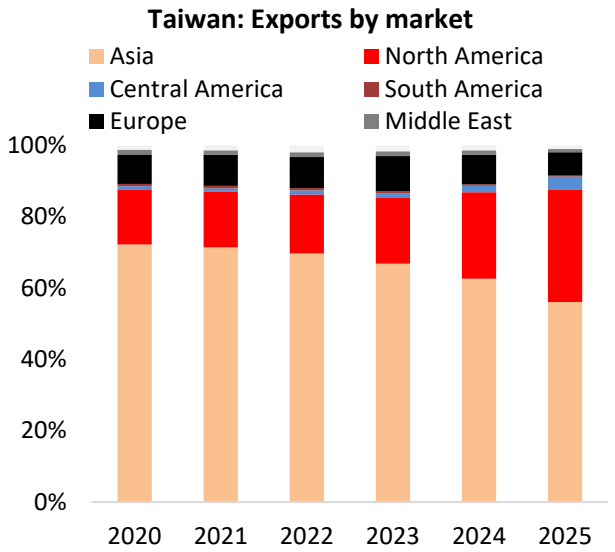


Sources: CEIC, DBS

Trade exposure

Taiwan's direct export exposure to the Middle East is minimal, accounting for less than 1% of total exports in 2025. Europe accounts for around 6%, suggesting that shipping disruptions in the Red Sea or Suez Canal would have only a limited first-round impact on trade volumes.

The larger risk comes from second-order effects of higher global energy costs. Elevated oil prices act as a tax on consumption, reducing household purchasing power in key markets such as the US and Europe. This could dampen demand for consumer electronics, PCs, and smartphones. **However, structural technology trends continue to support Taiwan's exports**. AI-related investment, data centers, and industrial policy-driven growth provide a cushion, helping offset a slowdown in traditional electronics exports.



Sources: CEIC, DBS

Macro implications

An oil price shock would weigh on Taiwan's "Goldilocks" mix of strong growth and contained inflation, but it is far from triggering stagflation. If oil stabilizes around US$80/bbl, GDP growth could slow by roughly 0.3ppt, with CPI rising about 0.4ppt. If oil reaches US$100/bbl and remains at that level for the rest of the year, GDP growth could decline by about 0.9ppt, and inflation could rise around 1.3ppt. These estimates exclude additional drag from weaker global demand, which could further affect exports and GDP.

The central bank retains flexibility. With a base-case GDP growth forecast of 7% and CPI at 1.5%, the risk of inflation exceeding 2% may initially outweigh the risk of growth falling below potential (~3%), supporting a bias toward tightening. If external demand weakens and export momentum slows, policymakers can pivot toward easing to stabilize growth.

Market implications

Financial markets remain another channel of adjustment. Taiwan's equity valuations are high, with total market capitalization of the TWSE exceeding 300% of nominal GDP. Heightened geopolitical risks may prompt global investors to reduce exposure to high-beta markets. Still, strong corporate earnings and technology sector growth provide resilience, helping the market absorb shocks without destabilizing the broader economy.

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Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

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Economics

Thailand chartbook: Firmer 4Q25 growth, Cautious outlook

Economics/Growth/Inflation/Monetary

Group Research

February 19, 2026

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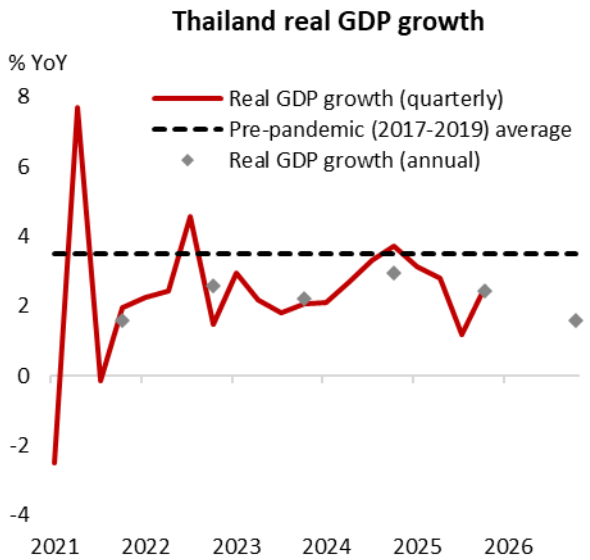
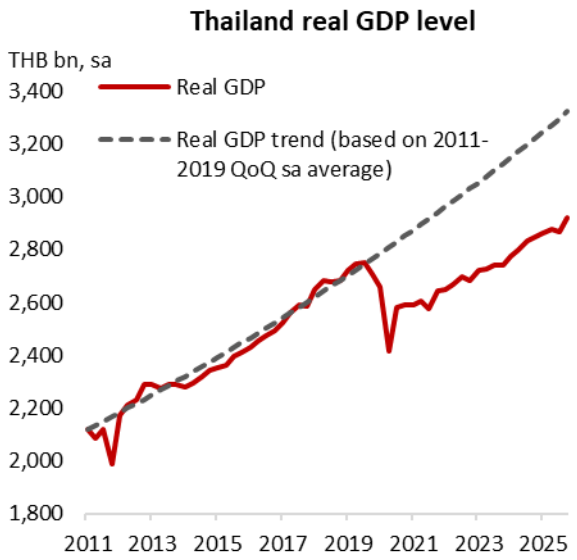
- *Thai real GDP growth rose to 2.5% yoy in 4Q25 due to improved domestic demand. Nonetheless, full-year growth eased to 2.4% in 2025.*
- *Private and government consumption were boosted by stimulus in 4Q25, but household spending will likely be constrained by income challenges and high debt in 2026.*
- *Good exports, while strong, eased in 4Q25, and will face headwinds from the lagged impact of US tariffs in 2026. The recovery in foreign tourism will likely be gradual.*
- *High likelihood of policy continuity after the Bhumjaithai Party's decisive electoral victory.*
- *We expect the dovish BOT to cut its policy rate by 25bps to 1.00% in 2026, but will likely hold in February to preserve policy space after the better-than-expected 4Q25 growth.*
- ***Forecast implications:** We maintain our 2026 forecasts for real GDP growth and headline inflation at 1.6% and 0.5%, respectively.*



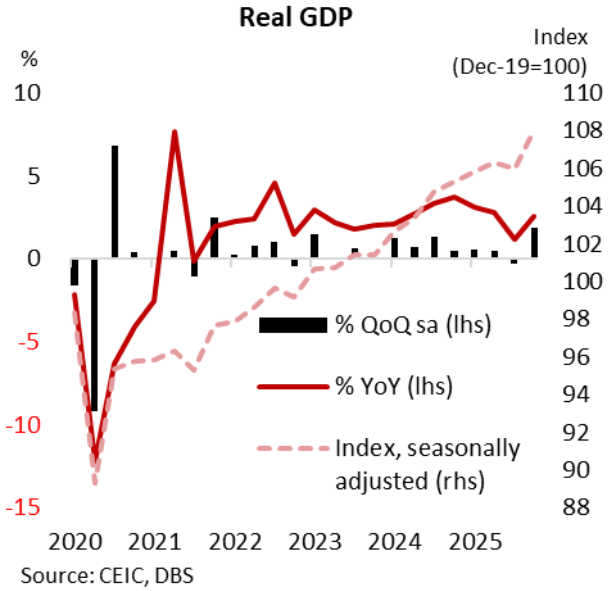
Source: CEIC, DBS. 2026 = DBS forecast



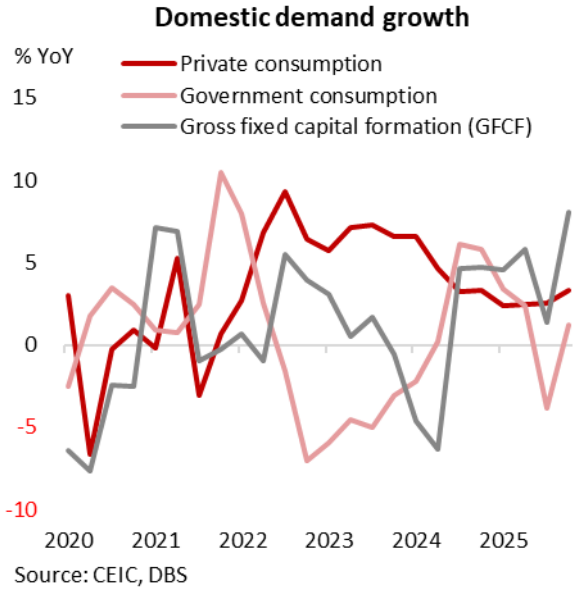
Source: CEIC, DBS

Real GDP growth

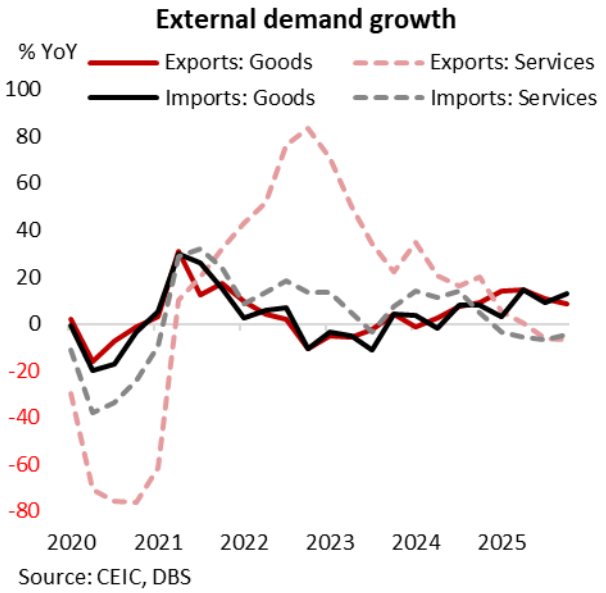
Real GDP growth rose to 2.5% yoy in 4Q25, up from 1.2% yoy in 3Q. However, growth for full-year 2025 eased to 2.4%. We maintain our forecast for slower growth of 1.6% in 2026, given various challenges.



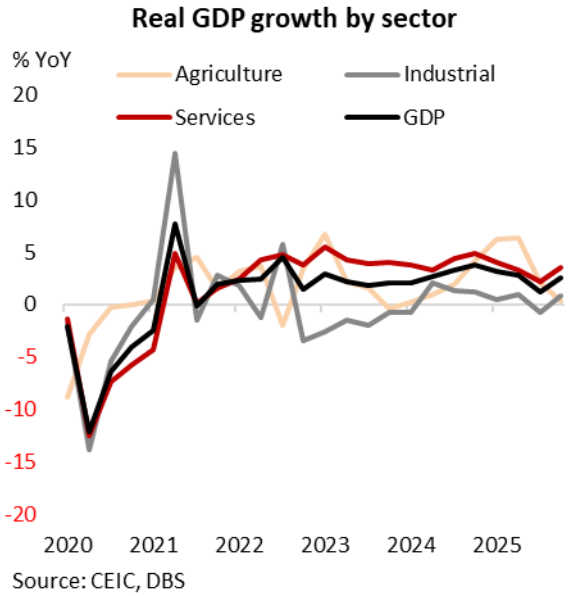
Overall growth was boosted by improved domestic demand in 4Q25. Private consumption and government consumption were lifted by temporary stimulus support. Investment growth surged to the highest in 10 years.



External demand growth in 4Q25 eased further for the third consecutive quarter. Goods exports, while strong, decelerated, and services exports remained in contraction.

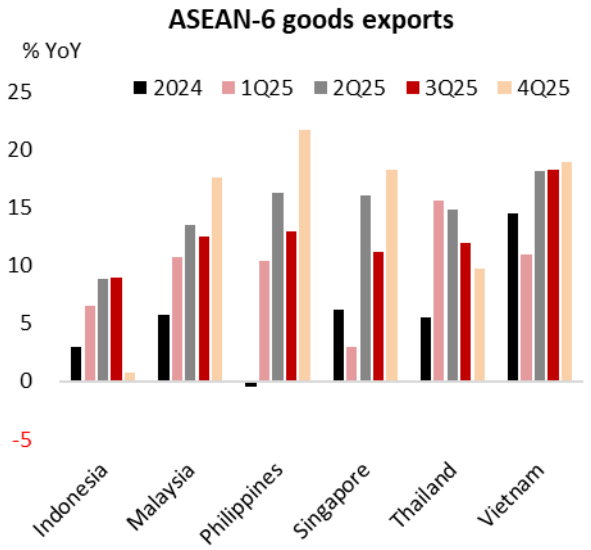


The pick-up in economic expansion was driven by a rebound in the industrial and services sectors in 4Q25. The agriculture sector was negatively impacted by weather disruptions.



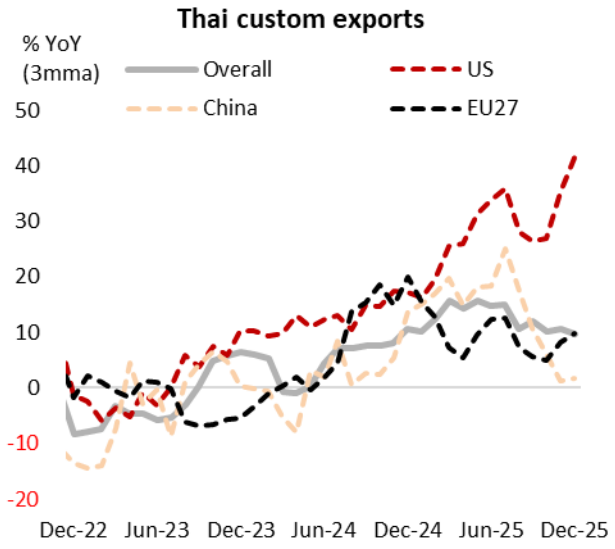
Goods exports

Regional goods exports performed well in 2025 despite the US tariff roller coaster. However, strong Thai export growth eased over the course of 2025. Thai shipments will face headwinds from the lagged impact of US tariffs in 2026.



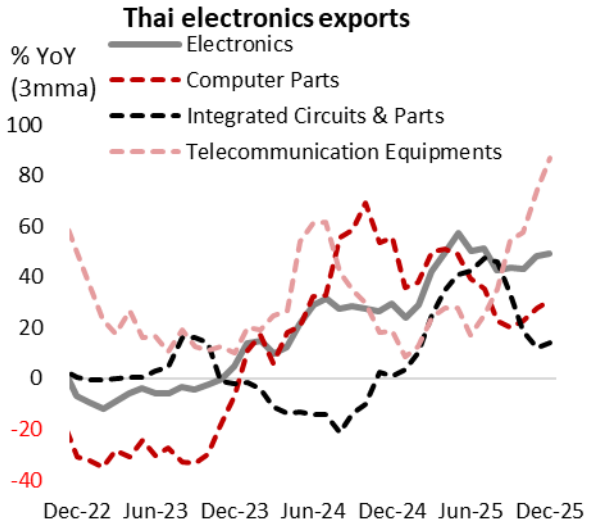
Source: CEIC, DBS. Note: % YoY in USD terms.

Thai goods exports benefitted from accelerating momentum to the US in 2025, but this trend looks unsustainable in 2026.



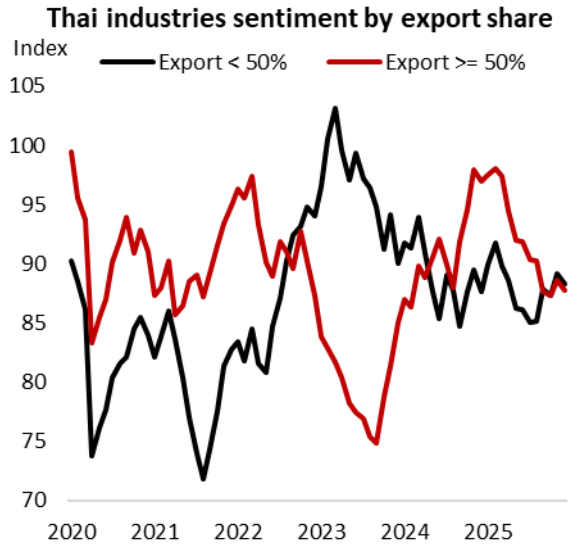
Source: CEIC, DBS

Thai electronics exports have been supported by global artificial intelligence (AI)-related external tailwinds. While these tailwinds remain supportive, there are risks of excessive exuberance.



Source: CEIC, DBS
Note: dotted lines are selected sub-components

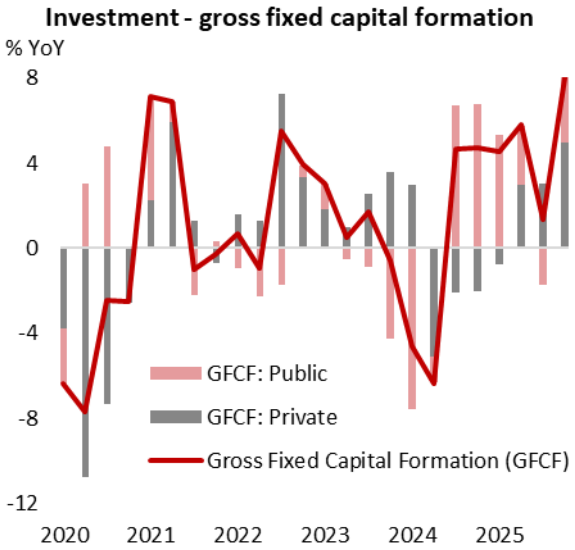
Sentiment among Thai industries more exposed to exports remains cautious despite strong export growth, likely due to the still-uncertain global trade policy landscape.



Source: CEIC, DBS

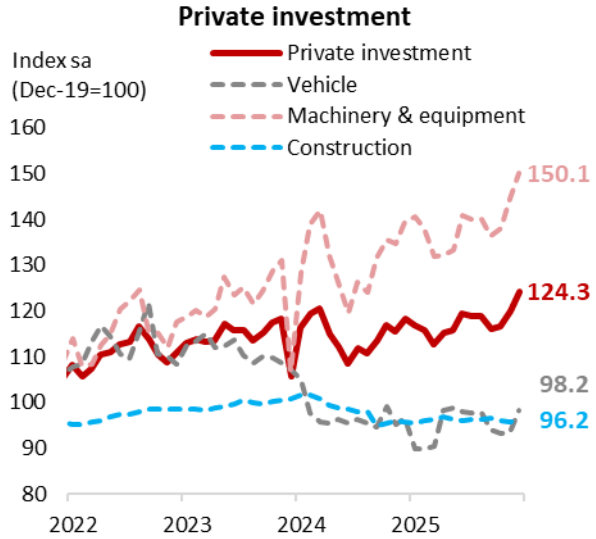
Investment

Quarterly investment growth in 4Q25 accelerated to a 10-year high, driven by both public and private sectors. We will have to watch if the strong momentum can be sustained in 2026.



Source: CEIC, DBS

Private investment was mainly supported by an increase in machinery and equipment at the end of 2025. However, an uncertain domestic and external landscape could dampen investor sentiment.



Source: CEIC, DBS
Note: dotted lines refer to sub-indices.

The Bhumjaithai Party looks likely to lead the new coalition government after its decisive victory during the elections on 8 February. We see increased likelihood of political stability with a technocratic government to implement its proposed economic policies, but execution remains key.

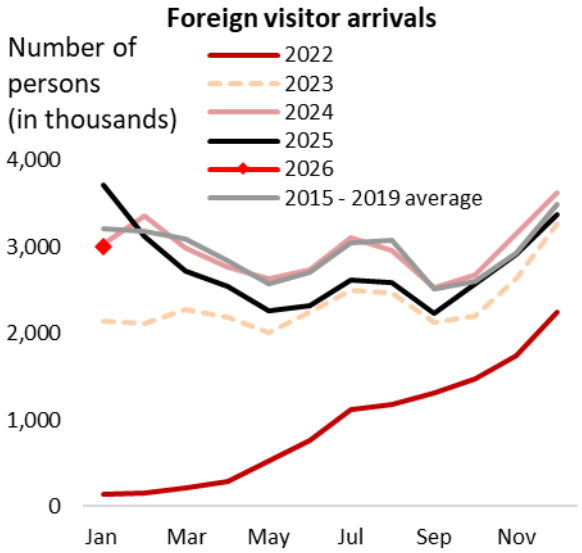
The Bhumjaithai Party's Economy 10 Plus Policies

#	Policies	Description	#	Policies	Description
1	Small & Low-Income Support (Small Business & Welfare Plus)	Support for small businesses and low-income households through reforms to the state welfare card, continued co-payment (Half-Price Plus) scheme, electricity subsidies (capped at 3 THB per unit for the first 200 units), government savings bonds and savings incentives, and fast debt consolidation to reduce financial burdens.	6	Green Economy Plus	Supporting environmentally friendly economic activity, clean energy (e.g., solar and EV sectors), a carbon market, and incentives for green businesses to promote sustainable growth.
2	Made in Thailand SMEs Plus	Strengthening Thai SMEs with capital injections, easier loan guarantees, improved market access, and support to help locally-made goods succeed domestically and abroad.	7	Digital & AI Plus	Expanding access to AI and digital tools to improve productivity, income opportunities, and new job creation.
3	Investment Plus	Boosting investment (targeting around 30 % of GDP within four years), including public-private co-investment and incentives to attract both domestic and foreign investment, especially in future industries.	8	Equal Education Plus	Genuine free education with built-in pathways to employment — including online platforms, skills training, and job linkage programs.
4	Produce & Sell Plus	Enhancing production of the right goods and ensuring they meet consumer demand, along with support for local production tailored to market needs.	9	Senior Citizens Plus	Policies to enhance employment, income, care, and tax benefits for senior citizens (e.g., tax deductions for hiring seniors, incentives for elderly employment, community caregiver programs, and development of senior care centers).
5	Trade Plus	Promoting smart, high-value trade, upgrading the production base, and expanding Thai exports via mutually beneficial international partnerships.	10	Thailand Plus (Regulatory & Governance Reform)	Streamlining regulations, accelerating approvals, and creating a more investment-friendly environment to support a "new economy" and increase Thailand's competitiveness.

Source: News, DBS compilation

Tourism and Private consumption

Thailand's foreign tourism is starting 2026 on a soft note, following the gradual increase in 4Q25. The outlook is for a modest improvement in 2026, but a strong baht could pose competitiveness challenges.

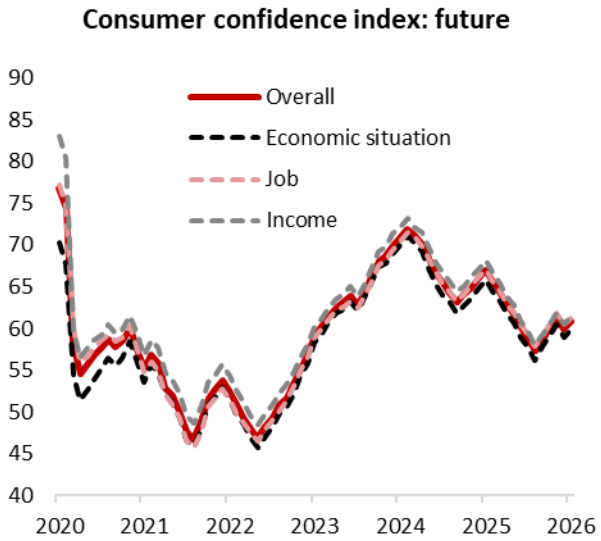


Source: CEIC, DBS

The kingdom faces challenges in attracting Chinese tourists, having been impacted by safety concerns, and is also losing them to regional destinations. The recovery in Chinese tourists will likely be gradual.

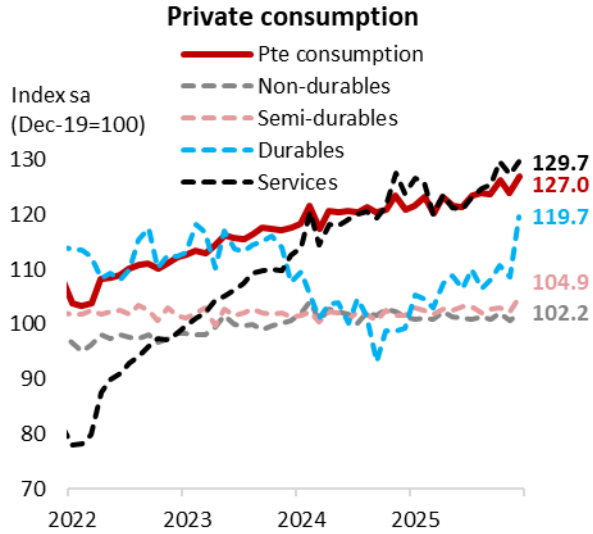
Source: CEIC, DBS
Note: Comparison vs same month in 2019.

Consumer confidence recovered slightly in 4Q25 due to government stimulus, but will likely be cautious in early 2026 amid income challenges due to economic uncertainty.



Source: CEIC, DBS. Note: dotted lines refer to sub-indices

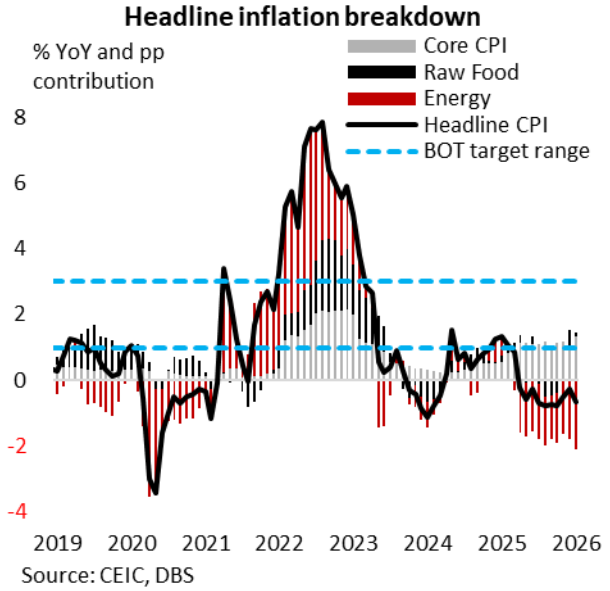
Private consumption was temporarily boosted by durable goods, notably vehicle sales. However, purchasing power remains fragile amid cautious consumer sentiment, and high household debt.



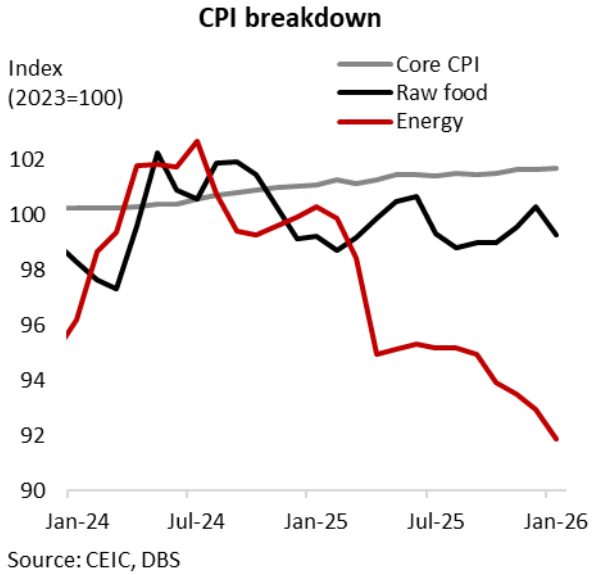
Source: CEIC, DBS
Note: dotted lines refer to sub-indices.

Inflation and Monetary policy

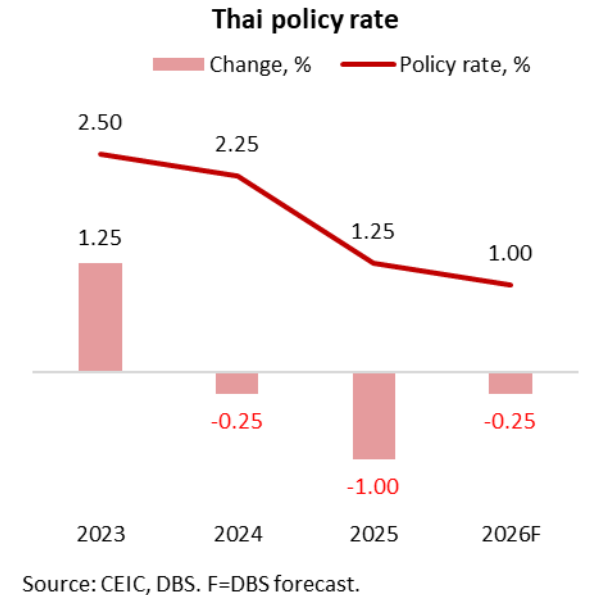
Headline inflation remains negative for the 10th consecutive month as of January 2026. This was due to supply-side factors, although demand-pull pressures were also weak. We maintain our forecast of 0.5% for 2026.



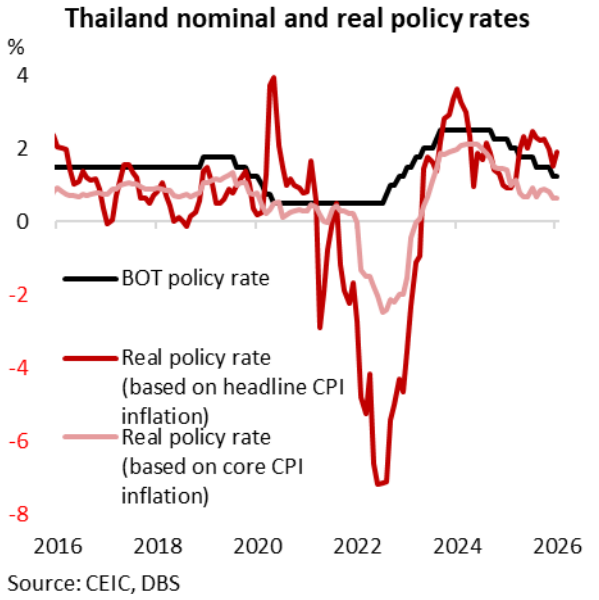
Lower energy prices, including fuel and electric tariffs, are the key supply-side factor dampening headline inflation. Food prices face some upside pressure from weather disruptions. Core CPI is only edging up gradually.



While we think the Bank of Thailand (BOT) will cut its policy interest rate again in 2026 to support growth, we see little urgency to ease monetary policy in February after the stronger-than-expected growth rebound in 4Q25.



Real policy interest rates in Thailand are not low, even as the BOT has eased monetary policy by 125bps since October 2024. There is still room for rate cuts, although policy space is diminishing.



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Kopi Time E171: IIF's Tim Adams on the Fed, US fiscal, and financial stability

- *171th episode of Kopi time, a podcast series on markets and economies from DBS Group Research.*
- *Youtube link is here. Available also on all major podcast platforms, including Apple, Spotify, Amazon, and Google.*

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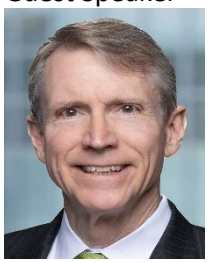

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Hello, this is Kopi Time, a podcast series on markets and economies from DBS Group Research. I'm Taimur Baig, Chief economist, welcoming you to our 171st episode.

Today, we will head to Washington, D.C. to get an insider's view of what's taking place there in banking and finance and then widen the lens to some global trends. Timothy Adams is currently President and CEO of the Institute of International Finance.

Prior to joining the IIF, Tim served as Managing director of the Lindsey Group, an economic advisory firm. Previously he served as Undersecretary of US Treasury for International Affairs. He also served as Chief of Staff to both Treasury Secretaries, Paul O'Neill and John Snow.
Tim Adams, a warm welcome to Kopi Time podcast.

Timothy Adams

Yeah, it's so great to be with you. I know it's warmer there than it is here. It's a chilly, snowy day here in the nation's capital.

Taimur Baig

I gathered that. I'm actually heading to London in a few hours' time. I think the chill from the US, literal and metaphorical, has sort of spilled over into UK and Europe as well.

Timothy Adams

Yeah, I'm in Europe next week. Yes, bring a coat and a hat. It's winter here and there as well.

Taimur Baig

Yeah, absolutely. Tim, I was kind of joking with you before we started the podcast as there are so many things to talk about that we could spend many, many hours. So, my key struggle in this conversation would be to keep things narrow and not ramble on and drag you into all sorts of tangents. I'll try to discipline myself as much as I can, and I'd like to start our conversation by talking about the latest development in the world of central banking, the nomination of Kevin Warsh as the next Fed chair. Some thoughts?

Timothy Adams

Kevin's a dear friend of mine. I was just communicating with him yesterday. I've known him for 25 years. We were colleagues when I was at Treasury and he was at the Fed, and when we served in Bush 43 together. He was at the White House, and I was at Treasury. I'm a huge fan. I think it was a great choice. I thought that's where the President would go. Kevin is very politically savvy guy. He's a good communicator. He served on the Fed Board as a governor during a crisis time under Ben Bernanke. He understands the institution and the issues. He spent the last 15 years with Stanley Druckenmiller, gaining a full understanding of how markets function globally, and I can't think of anyone better to study under than Stan. He's one of the world's best hedge fund managers with one of the best records, and ironically, Scott Bessent, who also worked for the Secretary of the Treasury—also worked for Stan. So, you see Stan's world shaping US policy. I think Kevin will get confirmed. We just have to get through this really ridiculous issue with J Powell and the Department of Justice investigation, which I think is a waste of time. We'll get through it. I think the White House will find a way to walk away from it. Kevin will get confirmed and be in the job by mid-year.

He has a huge job ahead. He's never been a CEO; he's never been in the chair seat before, so first he has to build consensus around his immediate table, the Board. There are three individuals, Barr, Jefferson, and Cook, who will be skeptical. He has to bring them along. He also has to build good ties with Chris Waller and Michelle Bowman, who are dear friends of mine as well, and Stephen Miran, who is going to stay on. So, he has to build consensus around the board, convincing possible detractors that he has a vision and a way forward. Then there's the broader FOMC, with a tremendous number of very smart people sitting around the table, many of whom you and I know. He has to build consensus there too.

Then he has to decide what to do about the organization. Kevin has made a number of pronouncements about re-engineering models, bringing in different economists, and rethinking approaches. I think it's a good idea to kick the tires a bit, bring in different perspectives, and ask whether there is too much groupthink. Stress testing the organization is fair; every new Fed chair

does that. That will take time, it's a two-year process, not a two-month process.

His biggest short-term challenge is keeping the President of the United States off his back. You heard the President yesterday at the Alfalfa Club, a white tie, elite dinner here in Washington, joke that he would sue Kevin if he didn't cut rates. He has to keep the President happy while defending the institution and its independence. It's going to be tough. Rates are going to come down. I think he'll find a way forward and build a consensus, but he has to navigate between market expectations, the integrity and independence of the institution, and a President who has three more years left and is not shy about expressing his opinion.

Taimur Baig

I want to talk about the vision aspect you mentioned. It's not entirely clear to me, and the market also seems to be struggling to understand the vision that Warsh would bring. We've seen him speak very hawkishly during the Obama years and subsequently, and then we've seen him talk very dovishly in recent years. How do you reconcile politicized rhetoric versus independent thinking from Warsh as a neutral Fed chair? Where do you think this stands up?

Timothy Adams

He's going to be a pragmatist. Whatever philosophical tendencies he has will be checked at the door when he walks in. The institution itself influences you. I've seen many people go in as Fed governors with strong convictions, planning to do A, B, and C, and once the doors close and you're with colleagues and staff, you become more institutional. Kevin at heart is an establishment figure, not a bomb thrower, although he gave some aggressive speeches. That was more performative; to show he's an independent thinker with the intellectual chops to run the place. He'll be pragmatic and look at the facts in front of him. He also has to build consensus to get votes around the table. He has to be a listener. You're a chair, but more like a Prime minister than a President, surrounded by many very smart people who have already been at this. Kevin has done it, but it has been 15 years, so there's a learning curve. He'll figure out how to get rates where they need to be in the short term, put institutional reforms aside, keep the President off his back, and let philosophy evolve over time. In the near term, it's pragmatism.

Taimur Baig

You are predicting that under Warsh, rates would come down further and he would persuade the governors with intellectual arguments. But moving away from parsing what Mr. Warsh thinks, do you think the US economy is in dire need of lower interest rates?

Timothy Adams

No, I don't. The President certainly wants lower rates, but I'm not sure he fully appreciates the yield curve. You might lower rates at the short end, but you pay for it at the long end, and the long end matters most. Think about housing, we need more housing and a more vibrant housing market. In terms of long-term funding, it matters as well. Although US government funding is pretty short term these days, we can set the deficit aside for a moment. I don't think lower rates are needed. Kevin will likely make the case that we have an AI revolution, he already has, and that on the supply side, with investment led growth, you can lower rates without creating inflationary pressures. There is a worry that labor markets could deteriorate a bit, and whether you should get ahead of that. Last year, 2025, was the worst year for labor markets in a non-recessionary period since 2003, and we lost 75,000 manufacturing jobs. I think that's more about structural policy than monetary policy, but we always look to the Fed to solve many problems. Kevin has complained about the Fed's remit expanding over the years, along with mandates for institutions like the IMF, Central bankers get involved in lots of issues. He'll try to narrow the focus to strict central banking, while also acknowledging the economy's transformation, very much like Alan Greenspan in the 1990s.

Taimur Baig

That's where my biggest uncertainty lies. Warsh has said lower rates are warranted, pointing to a productivity-led revolution and disinflationary impulses just around the corner. At the same time, he has accused the Fed of mission creep and relying on balance sheet operations like QE to accomplish things it shouldn't. How does one cut rates and do QT at the same time?

Timothy Adams

You can't, and that's the problem. He's out over his skis on the balance sheet. Again, it's about pragmatism. Walk in the door, build consensus, show you can lead the organization, and find a way to ease conditions enough so the President gets off your back. The worst outcome for Kevin and the institution is the President spending the next two years publicly attacking both Kevin and the Fed. It doesn't serve anyone's purpose. It's a balancing act. Kevin believes he can get rates down without jeopardizing price stability or the integrity of the Fed. We'll see. He's savvy, smart, and sophisticated. He has messages for the President, for markets, and for colleagues at other central banks, touring and seeing many of them. It's a huge challenge, but he starts with an enormous amount of credibility.

Taimur Baig

That's good to know. He also has to worry about the bond market. Let's go with the scenario that he cuts rates credibly, and that he and Scott Bassent are on the same wavelength, allowing some monetary fiscal coordination to deal with the enormous debt. Fast forward nine months: the Fed has cut two or three more times; markets don't like it; the AI led disinflationary impulse is more 2028–2029 phenomenon, not 2026–2027; and the yield curve steepens. What would they do?

Timothy Adams

That's what would keep me up at night. Once you're in that box, how do you get out? He would need cooperation from the Treasury Secretary to provide political cover. He would have to sound more hawkish. Ultimately, Washington needs to focus on our fiscal trajectory, which is harrowing and unsustainable, and no one seems to care. Maybe a long end backup that pushes up mortgage rates and angers voters would jolt the political class into focusing on deficit reduction. Right now, it doesn't exist; we tinker around the edges. I ran the numbers this morning, we spent USD1.267trn on net interest on public debt over the last year, that's USD3.5bn per day. It's not sustainable. We're at 120% of GDP on a gross basis; 100% if you look at debt held by the public. We're an aging population and spending more on defense. It doesn't work. Maybe a rate backup has a silver lining if it forces attention on deficits.

Taimur Baig

Assuming no fiscal consolidation and a market revolt, could we head into financial repression, like India in 1970s—forcing banks to hold more bonds, the Fed abandoning QT, resuming QE, or even Japanese style yield curve control? Could the US go down that unorthodox path?

Timothy Adams

That's a great question. It's possible the President would say all those things are great. He likes price controls, and people around him do too. I'm sure he wouldn't think twice about calling up big bank CEOs and asking them to hold more Treasuries. Could that come out of the White House? Most certainly—anything could. A cap on credit card interest rates popped up out of nowhere. Would Scott Bessent and the more seasoned officials sign on? I doubt it. You could see internal tension. The President may field provocative ideas, and the Secretary will have to walk them back with markets. Ultimately, the Fed might have to reverse course and prove its mettle. If markets lose confidence in the Fed's integrity and commitment to price stability, getting that back will be hard. That's Kevin's challenge—keeping markets confident about price stability while the President breathes down his neck on a daily basis.

Taimur Baig

And to your point that Scott Bessent, who has dealt with the bond market in his professional career, may not get along with those things. I'm just trying to sort of game out the possible scenarios here. Could we then see the tension between two appointed, top secretaries or one chairman and one secretary and the President, and then could we see things like what we saw in Trump 1.0, resignations or firings and things like that.

Timothy Adams

This administration is different from 1.0. It's more cohesive and deeply onboard with the President. There isn't much of an internal policy making process, no deputies process. It gets played out on social media more than anything. You might see the President tabling ideas, the Secretary trying to walk them back, and a lot of public discourse, while behind the scenes they try to fix the problem, and

Kevin gets stuck in the middle. I don't think the Secretary is going anywhere. He likes his job and is here for the foreseeable future. Unlike Trump 1.0, where the President doubted officials' loyalty, these people seem loyal. It would take a high bar for him to push people out.

Taimur Baig

So, nobody resigns. They follow the path we outlined—first cutting rates, and if curves steepen, financial repression. But there's no free lunch. Something has to be given, and I guess that will be the dollar.

Timothy Adams

There is no free lunch, although this town often operates as if there is. You hear it on tariffs. The Wall Street Journal editorial page today picked apart the President's points on tariffs. We're in a world where facts often seem not to matter, and it's hard to find the truth. The dominant political class here believes in a free lunch until there isn't one. When there isn't, whether on deficit spending or geopolitical saber rattling, something will go wrong, and then we'll see how they react. So far, they've been incredibly lucky. Everything is priced to perfection. Will it stay that way forever? History says it won't.

Taimur Baig

If the dollar is the pressure valve and has substantial downside, some like Scott Besant and Stephen Maran argue a weak dollar helps address the US's persistent current account deficit and restores manufacturing competitiveness. Will this be the first administration in a very long time to guide the dollar lower?

Timothy Adams

Great question. If you asked Donald Trump, he'd say he wants a weaker dollar. Some in this administration might agree. Scott Bessent, however, knows that if you try to steer the dollar, you could lose control and credibility. He quickly came out last week to say he has a strong dollar policy. Last year, at our event, he called me and said he wanted to speak at the IIF spring meetings; he emphasized his commitment to the Bretton Woods institutions and reaffirmed a strong dollar. Expect tension between 1500 Pennsylvania Avenue (Treasury) and 1600 Pennsylvania Avenue (the White House). The President may push for a weaker dollar, while the Secretary modulates the message, insisting they are not abandoning a strong dollar, which can mean everything and nothing, depending on the administration. For us, it was always a commitment not to use the currency as a beggar thy neighbor policy lever. We have a flexible exchange rate for a reason: it goes up and down; markets determine it; flows, relative growth, relative inflation, and productivity matter. Bessent will have to say that depreciation, if it happens, is a normal course of business; perhaps the dollar was overvalued. But the goal is not to weaken it as a policy tool. The question is whether markets believe him. We'll see.

Taimur Baig

I had the pleasure of attending that event; you did a fantastic job interviewing the Secretary. If I recall correctly, when you asked him the question, he said that for him, a strong dollar means the US remains an attractive place for investors from all over the world. Even if the dollar's value moves around a bit, as long as the US stock and bond markets are desirable, that's what a strong dollar policy means. I get the point. But if the dollar falls a lot under financial repression scenarios, it can become disorderly, which would not be good for US asset markets.

Timothy Adams

That's always the challenge in Treasury's corner office, ensuring stability even if the direction is clear. It's not only about the dollar; the yen and other currencies can also face questions of volatility and disorder. You worry about the need for signaling, either rhetorical or via market intervention, which is always the last course intervention. You don't want to do it unless you have to, because you can't push markets where they don't want to go. This administration believes, consistent with previous ones, that if you do everything right, capital will come. As one Secretary used to say, capital is a coward: it goes where it's treated well and leaves where it's treated badly. Create the right enabling environment and you will attract capital. The President takes a stronger arm approach: do trade deals and compel investment into the United States. Bessent believes that deregulation and lower energy prices can foster a more pro-business

environment. Animal spirits are evident in boardrooms. The business environment is positive, which itself attracts capital. On fundamentals, the US story is good, especially if an AI revolution drives more investment led growth. They think they have a very good story to tell.

Taimur Baig

It is remarkable that in 2025, despite AI excitement and big deals, with firms like OpenAI raising money in the Middle East and Japan and elsewhere, aggregate FDI declined in the US in 2025. There's a lot of paralysis and confusion about policy certainty under tariffs. From Singapore, I can say that a 15% tariff, or 5% or 10% downside, still doesn't make it compelling to move manufacturing from China or Malaysia to the US. 30% is not a wedge. More favorable tax policy and lower energy prices help, but most importantly, certainly currently lacking.

Timothy Adams

You're absolutely right. I've always been skeptical of the manufacturing renewal narrative. The US is already a manufacturing powerhouse already; a USD2.9trn manufacturing economy. If it were its own economy, it would be the eighth largest in the world, larger than the next five manufacturing sectors combined. Despite rhetoric about hollowing out, it's a powerhouse. But moving production here is expensive. In the auto industry, for instance, there are many costs to consider. It's about policy durability. If you're building a factory with a 40-year productive life, you don't do that based on the next 36 months. I spoke with people in the aluminum smelting business. Aluminum is essentially an electricity play. It takes seven years to build a smelter in the US, with a 40-year useful life. If electricity prices are three times what Canadians can charge with hydro power, you're not competitive, and downstream purchasers aren't competitive either. Outside tech and data centers, there's a lot of caution. Many announcements the President touts aren't real; mostly PR. Manufacturing construction weakened in 2024 and 2025. It's tough to get firms to move with a 40-year horizon without durable, appropriately supportive policy.

Taimur Baig

Returning to the dollar, in addition to where the dollar goes, there's the issue of weaponization of the dollar, and this is something that regimes in the last 10 years, Biden or Trump, have repeatedly done that, seizing Central bank reserves of Afghanistan or Russia, SWIFT related sanctions on firms dealing with listed entities, and so on. Has this caused serious damage? Will it permanently reduce the desirability of holding dollars?

Timothy Adams

I hear this everywhere. As we rethink 21st century payment rails—tokenized deposits and assets, distributed ledger technology for Central bank and commercial bank money in cross border payments—the world is changing rapidly. Some jurisdictions are building their own systems, cross border or regional, especially in Asia, to avoid clearing through US institutions and using the dollar. It's really hard, though. About 80% of commodities are still priced in dollars. Roughly 90% of FX transactions involve the dollar. The US remains a quarter of the global economy, with 60% of global reserves in dollars; the euro is next, at about a third of that share. The embedded network effects are hard to dislodge but sentiment but yes, from a sentiment perspective, I hear it everywhere I go. Over time, jurisdictions will find ways to circumnavigate the US. I just don't think it happens in the next three to five years.

Taimur Baig

Is there a more constructive approach the next administration could take, codifying that the dollar will not be weaponized? Or have we passed that point?

Timothy Adams

Again, a great question. Sanctions are a very attractive, non-kinetic tool of US power. It's tough to walk away from that. Every administration, Bush, Obama, Biden, Trump has used them. I don't think a future administration will give up that leverage. But you could have a rhetorical approach that is more understanding of global concerns, with a higher threshold for using sanctions. That would help. Right now, there's a sense they're used whenever and however they want, which many jurisdictions see as

reckless. You can walk that back somewhat, but I don't think any administration is giving up the tool. Let me just add to that. An interesting episode in the last couple of weeks, Secretary Bessent was out for dinner, and some advocacy group got wind of it and showed up at the restaurant and made a big fuss. It's on YouTube, you can find it. And it was about sanctions and I don't know, I never heard of the group who were shouting at him over his dinner about the use of sanctions and it had killed 600,000 children around the world or something. It's the first time I'd ever heard protesting about US sanctions. There's a lot of things you could protest about in the United States right now, but I thought that was an interesting data point. And so maybe that's to your point as well. There is concern about the aggressive use of weaponizing the dollar, and if enough of this happens, then you may see over time some sensitivity to how it's used and where it's used and under what circumstances.

Taimur Baig

That's fascinating to hear that. I'm really glad that you added that insight. Thank you for that. About eight months ago, the Genius Act on stablecoins passed. There was breathless commentary that this would quickly become a USD1trn market, disintermediate countries with weak FX policies, and democratize cross border currency movement. It doesn't seem like a game changer yet. Am I speaking too soon?

Timothy Adams

There are strong ambitions in Washington for stablecoins and their global use. You can't spend time with US officials without hearing about it—members of Congress and the tech sector are enthusiastic. Congress hasn't done much this term, but it passed the Genius Act and is debating the Clarity Act, which would give greater structure and define SEC versus CFTC roles, among other things. The US chairs the G20 this year and the G7 next year and wants to push this on the agenda and export the regulatory regime to other countries. I've talked to many jurisdictions, including Singapore; MAS is incredibly smart and among the best. The response is we'll think about it, but probably not. It's a tough sales job. That doesn't mean some jurisdictions won't adopt the Genius Act model and replicate the stablecoin world. Will it be a USD1-3trn market? I don't know, but it'll be larger than today. We are more focused on tokenizing assets and money (Central bank and commercial bank) within the current system. I think that's limitless and includes Central banks. It's difficult to build a new payment system without Central banks. Remember Meta's Diem, Libra. Without Central banks at the table, you face real constraints. Libertarian tech advocates might say "down with Central banks," but then you run into money laundering problems and other challenges. The Genius Act and stablecoins are huge here and discussed daily. There's upside but also limits. Alternative systems may be more durable and larger.

Taimur Baig

Augustin Carstens of BIS once told me stablecoins are a 500-year-old idea, the Dutch East India Company had copper backed coins that eventually failed as they started reducing the amount of copper they were backing it with, once the word came out, it collapsed. His point was that without airtight governance, asset-backed currencies don't work well. When the Genius Act passed, it seemed light on regulation, an original sin. People will be wary of loosely regulated private issuance of these. Your thoughts?

Timothy Adams

Governance is a huge issue unless users want it precisely because governance is light. History is full of debasement examples. A blockchain doesn't repeal economic gravity. There's a market for stable coins, but we need to understand stress environments. Andrew Bailey is the Chair of the FSB, and the Bank of England is looking at this. The BIS, Carstens and team are looking at it. There's an emerging market angle; in semi dollarized economies, you could see deposit flight from banks into stablecoins in stress, possibly within minutes, exacerbating instability. We're spending a lot of time thinking through these scenarios because circulation is growing and many of our firms are interested.

Taimur Baig

Absolutely, and I have to tip my hat. Both you at the IIF and the BIS are doing really important work. Sometimes leadership at the private sector and multilateral level is essential because governments pursue their own narrow national objectives.

Since you mentioned financial stability several times, let me turn to that. We're speaking at a time when we've seen anomalous developments, gold heading to 5,500 before correcting, still very pricey; silver doing something similar; the massive AI stock rally over the past couple of years; and now some correction going on. Does this give you 2000 or 2008 vibes? Or is this a healthier upcycle?

Timothy Adams

My job is to worry, and whenever we start talking about the end of the business cycle, it makes me nervous. I still have my Pets.com puppet at home as a reminder, Pets.com dominated Super Bowl advertising in January 2000 with a market cap exceeding major industrial companies. By March, the NASDAQ popped, and by October the company was bankrupt. Things can move very fast.

If you look at metals, for example, I'm on a foundation board, and we met Tuesday night. Six months ago, I suggested selling gold because I thought it was time. Some colleagues chided me this week, saying we should have ridden that horse longer. But I said, "You can't get greedy". I don't understand gold at these levels, historical ratios say we're already stretched. Silver is odd because it's an industrial metal, yet it's behaving erratically. Today it's down 15%. Bitcoin is below 70,000. All of these swings make me nervous.

I've encouraged my children to build portfolios, and they've called me this week. I told them be conservative. Buy value stocks. Look for blue chip, dividend paying companies that can survive cycles. Don't get greedy. Things are priced to perfection.

Maybe it all works out, the AI space is remarkable but there's also tremendous hype. I don't know whether one or two of today's AI leaders end up like the BlackBerry of their era. Maybe a new technology emerges from China or elsewhere that can do 85% of what LLMs do at 5% of the cost. If that happens, business models for companies borrowing and spending hundreds of billions could vanish almost overnight.

The market is very narrowly focused; seven or eight companies dominate. I'd feel better if it were more broad based.

Taimur Baig

Right. So, you and I should welcome the fact that there's rotation, not just a brutal selloff, people moving into value stocks. So, they're listening to your advice.

Timothy Adams

I'd like to see the rally broaden and become more durable. There's no doubt we're undergoing a technological revolution. I was watching videos this morning of new humanoid robots; they were everywhere at Davos. I saw one that can wash dishes, do laundry, and walk your dog. Given how cold it is here, I could use something to walk me.

But yes, firms will survive and others won't, just like in the 1990s. Think of all the search engines in 1996 that didn't exist four years later. Some of today's players will become the next Google or Amazon; some won't survive.

Taimur Baig

I confess I used Lycos and Excite back then. Tim, we've largely focused on the US. You run the Institute of International Finance and produce excellent global capital flow data. I'm an avid consumer of your capital tracker reports. Let's leave the US aside. What's your view on global flows? Have we survived the worst? Are we reasonably well stress tested?

Timothy Adams

As you know, we're global, with offices around the world, including a wonderful one in downtown Singapore. We just held a major event in Beijing last week, and our team spent a full week across China. Thinking about Europe, you're traveling there soon. Europe is interesting. The German numbers out this morning were better than expected. There's a lot of spending happening, especially on defense. We've launched a working group on defense spending, coordination, implications for financial institutions, risks, and upsides. Everywhere I've been in the last 90 days, from Greenland to Poland, defense and national security dominate conversations.

Europe faces challenges; aging populations, expensive social safety nets, rising defense spending. It needs institutional change and

continent-wide capital markets reform to better intermediate capital. They need to move savings out of zero return accounts and build an equity culture. They know what to do. Next week I'll repeat what they already know, and they'll tell me they know what to do. Execution is the problem. Draghi has emphasized that it's all about execution. Some progress may happen over time, but governance reform is needed. So, I'm cautiously optimistic about Europe but only cautiously. Spending will keep things afloat.

Another major theme is the Gulf and Asia. I spent a lot of time in the GCC in December. GCC interest in ASEAN and Asia generally is rising. ASEAN interest in the Gulf and in Africa is rising. The world is rewiring itself. We used to optimize for efficiency; now we optimize for resiliency. Investors aren't leaving the US, but they're looking for alternatives.

GCC firms were in Singapore in September; they're heading to Hong Kong; ASEAN countries are heading to the Gulf. Add India and Africa, plus Europe, and you get this arc from the GCC across India into Asia. Add Australia. I'll be there soon. That arc is the future. Extremely dynamic, with 500mn middle class consumers. Enormous upside and investment potential.

More broadly, emerging markets with good policy regimes attract capital; those without don't. There are good stories on a country-by-country basis. Latin America has many elections. Right of center governments are coming in. We were in Costa Rica last week, and they're moving in that direction. Depending on what happens in Venezuela, you could see a transition from decades of poor policy to something better.

So, I'm optimistic we'll end up with a more balanced, diversified global economy, less dependent on the US consumer, less dependent on China as the supplier of capital and goods. That next stage will take time, but I think it will happen. So, I am optimistic about more balanced, diversified global economy and I am very excited about GCC to ASEAN arc.

Taimur Baig

We agree. Finally, you were at Davos. Mark Carney gave quite a speech. It really resonated across non-superpower countries of the world. What did you make of it?

Timothy Adams

Mark is a great friend. I sent him a handwritten note afterwards. I watched his speech live; it was spot on. A wake-up call. Mark played hockey in his youth, he was on Harvard's team, and the old saying is skate to where the puck is going. Mark is always where the puck is going. He described them as middle powers.

He argued that the old order is gone. What comes next is unclear. I've spoken with theorists, political scientists, historians, and authors recently; everyone has a different view. Are we transitioning to a new equilibrium, or wandering for 30–50 years? Hard to say. But I just know that what we had is gone.

Every country now must figure out how to defend itself, optimize national security, develop new alliances, new friends, new supply chains. It's a dog-eat-dog world. Mark's point was we won't be left behind. We have resources, innovation, and ingenuity. We're not the US or China, but we can find new markets, alliances, and business opportunities. This re scrambling is happening and will continue for years, if not decades.

Taimur Baig

I call it the global anti-bullying campaign.

Timothy Adams

That's a good description. I hear it everywhere. If your listeners haven't read Mark's speech, they should. It lays out where we are; accept reality, don't be emotional, be pragmatic. Build resiliency in the system, defend your interests, and hopefully a new order emerges that promotes prosperity and peace and we are all better off.

Taimur Baig

Absolutely. Tim, this was a great conversation. Can't thank you enough for your time.

Timothy Adams

Thank you very much for having me. I always enjoy your work. I read everything you write. I look forward to coming back.

Taimur Baig

Brilliant. Thanks to our listeners as well.

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DBS Flash

Singapore: Strong start to the year

Economics/GDP

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- *Singapore's GDP growth rates of 6.9% YoY and 2.1% QoQ sa in 4Q25 were lifted from advance estimates.*
- *Incoming data in early 2026 and positive carryover effects point to resilient growth for now.*
- *We see near-term momentum from global artificial intelligence (AI) tailwinds, and supportive modern services and construction sectors.*
- *Nonetheless, lingering external tariff headwinds pose threats to non-electronics exports and the trade dependent economy.*
- ***Forecast implications:** We raise our 2026 real GDP growth forecast to 2.8%.*

Singapore's economy has entered 2026 on a firm footing, following stronger-than-anticipated growth momentum in 4Q25. Real GDP growth was lifted to 6.9% YoY and 2.1% QoQ sa from advance estimates of 5.7% YoY and 1.9% QoQ sa. The upward revision was across the broad sectors, driven mainly by much stronger manufacturing and services growth compared to initial estimates. Growth in 2025 therefore was 5.0%, but eased from the upwardly revised 5.3% expansion in 2024.

Incoming data at the start of 2026 and positive carryover effects point to resilient near-term growth conditions. Nonetheless, we expect this resilience to be tested as the year progresses, mindful of lingering external tariff challenges. **We therefore raise our 2026 real GDP growth forecast to 2.8%** (from 1.8%). This is consistent with potential growth, and easing from the above-trend expansion of the past two years. Alongside the data release, the Ministry of Trade and Industry upgraded its 2026 GDP growth forecast for Singapore to 2.0-4.0% (from 1.0-3.0%). It assessed an improved outlook for trade-related sectors compared to November, with balanced global risks.

Real GDP growth by sectors

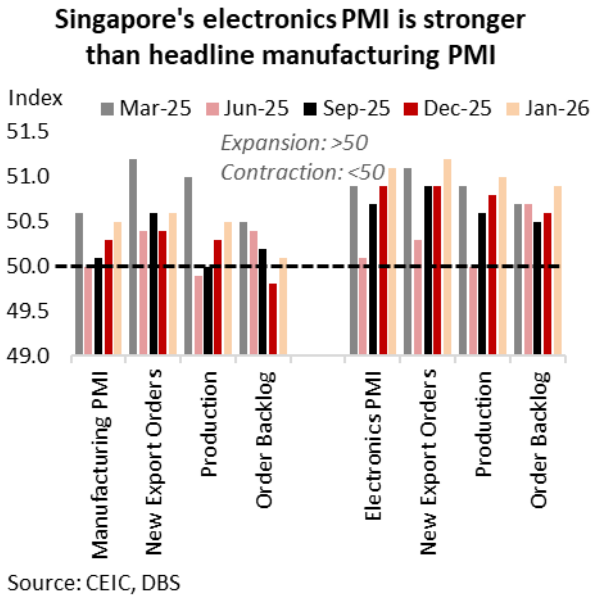
	2024	1Q25	2Q25	3Q25	4Q25	2025
% YoY						
Overall GDP	5.3	3.9	4.6	4.6	6.9	5.0
Manufacturing	3.8	4.7	5.1	5.3	18.8	8.7
Construction	5.4	4.2	6.6	5.6	4.6	5.2
Services	5.8	3.5	4.5	4.3	4.8	4.3
% QoQ sa						
Overall GDP	5.3	0.1	1.7	2.6	2.1	5.0
Manufacturing	3.8	-1.0	0.8	9.3	8.4	8.7
Construction	5.4	-0.8	4.8	0.6	0.2	5.2
Services	5.8	0.7	1.9	1.2	1.0	4.3

Source: MTI, CEIC, DBS

Refer to important disclosures at the end of this report.

Positive trend in AI-exposed trade sectors

Global artificial intelligence (AI) tailwinds that boosted Singapore's manufacturing and trade-related services sectors in 2025 appear to be sustaining into early 2026, with the maturing tech upcycle yet to show signs of waning. Incoming manufacturing sentiment data highlight electronics as a key driver of near-term resilience. These were underpinned by sustained momentum from global AI-related demand for Singapore's server products and memory chips. The electronics purchasing managers' index (PMI) rose further to 51.1 in January, returning to its January 2025 level (*see chart for selected sub-indices)*. Its positive divergence with the headline manufacturing PMI persisted.

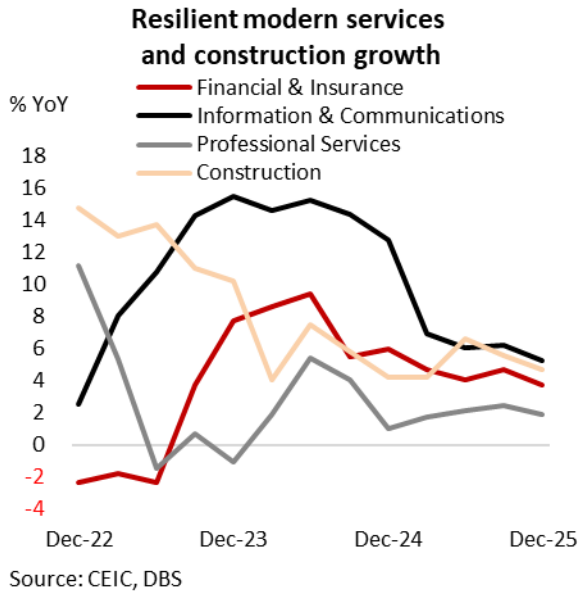


The business expectations quarterly survey similarly pointed to strong confidence among electronics manufacturers, with a net weighted balance of around 30% of firms expecting a better outlook for 1H26 (close to the findings in the previous survey). The wholesale trade sector will also likely be supported by positive global AI developments in the near term.

Support from modern services & construction

We expect the modern services cluster (comprising finance & insurance, information & communications, and professional services) and the construction sector to support Singapore's overall economy.

We continue to see various tailwinds supporting the growth prospects of modern services firms in 2026, despite external challenges. These include: (1) accommodative financial conditions from low domestic interest rates and improved trading activity partly aided by the Monetary Authority of Singapore (MAS)'s equity market reform measures, (2) strong AI digitalisation efforts, as well as (3) continued interest in Singapore's trusted business hub.



The domestic construction sector will be a bright spot in 2026, with the multi-year boom already underway. The Building and Construction Authority (BCA) expects sustained construction demand this year. It sees construction demand in 2026 supported by the expected awarding of additional construction works for Changi Airport Terminal 5, Marina Bay Sands Tower 4 expansion, New Tengah General

& Community Hospital, as well as railway network expansion projects such as Downtown Line 2 Extension and Thomson-East Coast Line Extension. Housing building works will also contribute to construction activity.

Lingering external tariff headwinds and risks

US tariffs globally remain higher than the rates before US President Trump's second term, despite the de-escalation in US trade tensions since April 2025. We therefore expect the lagged effects of higher US tariffs to restrain global trade. Singapore's non-electronics exports are likely to face downside pressures from these lingering external tariff headwinds, reflecting the uneven dynamics within the trade-related sector.

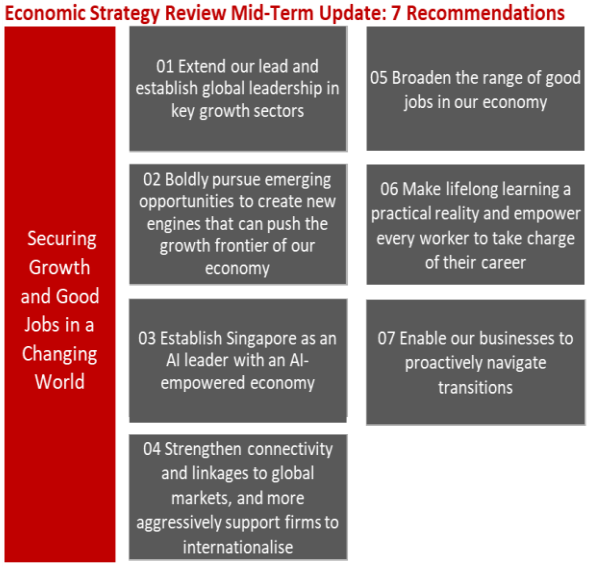
Considering the still-highly uncertain global economic landscape, we continue to monitor various downside risks. These include any unexpected re-escalation in tariff tensions, US sectoral tariffs such as phase two of US semiconductor tariffs, and an abrupt and disorderly pullback in the exuberant financial market sentiment over the AI boom, negatively impacting AI investment and trade-related demand.

Budget 2026 to strengthen competitiveness

Amid an increasingly fractured and disruptive global landscape, alongside tighter domestic resource constraints, we expect the Budget 2026 statement on 12 February to strategically position Singapore to remain competitive. As the first budget of the new government term, it will likely strike a balance between calibrated and targeted policy support, and fiscal responsibility and prudence. We forecast a slight overall fiscal surplus of SGD3.2bn (0.4% of GDP) for FY2026.

We expect key priorities to include accelerating AI adoption and innovation to lift productivity, supporting firms' internationalisation efforts, advancing the green transition, and strengthening human capital through talent attraction and upskilling. Measures to ease business cashflow and cost pressures may also be considered as economic resilience is tested in the cyclical horizon. Overall, the budget will closely align with the seven recommendations of the Economic Strategy Review Mid-term Update, as the government strives to achieve the higher end of its 2.0-3.0% growth projection over the next decade through increased calculated risk-taking, alongside the creation of good jobs *(see Singapore Budget 2026: Strengthening competitiveness)*.

Economic Strategy Review Mid-Term Update: 7 Recommendations



Source: Singapore government, DBS compilation

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Economics

DBS Flash

Indonesia: Balancing policy, safeguarding growth

Economics/Indonesia

DBS Group Research February 5, 2026

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Senior Economist

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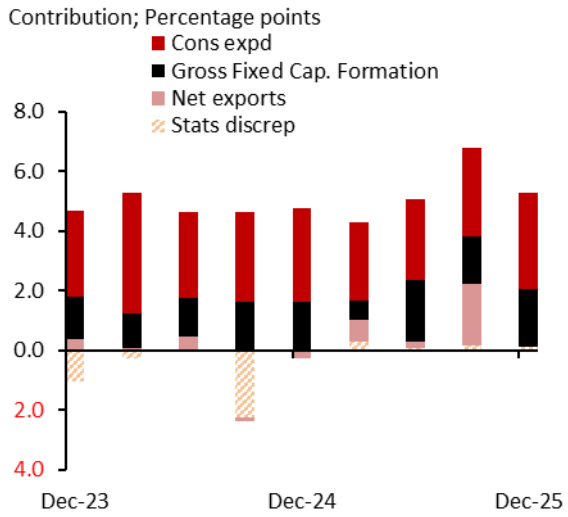
- *Indonesia posted an upside surprise in 4Q, with growth at 5.4% yoy.*
- *Consumption and investment stayed firm while contribution from net exports narrowed.*
- *1Q26 stands to benefit from festive demand, stimulus and low base effects.*
- *We revise up 2026 growth forecast by 10bp to 5.3% yoy.*
- *After a firm 1Q26, inflation should normalise as base effects fade.*
- *Policy is likely to walk a tightrope.*
- *We expect 2026 fiscal deficit to stay within the -3% of GDP threshold.*
- ***Implications for markets:** Monetary easing will be opportunistic.*

Growth ends 2025 on a firm note

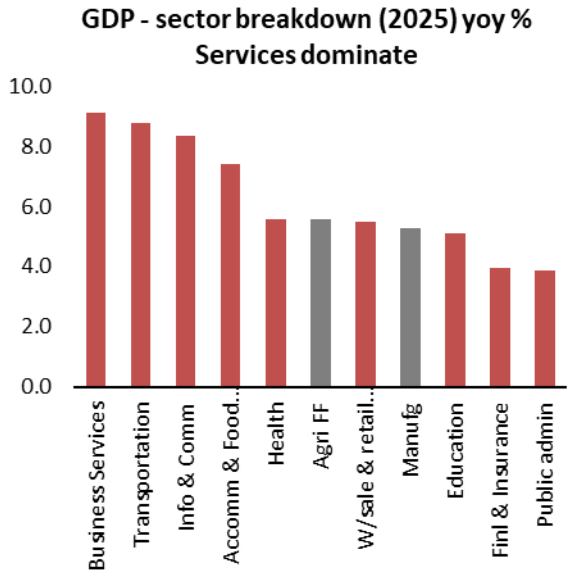
Indonesia posted an upside surprise in 4Q25, with GDP growth at 5.4% yoy three year high, up from 5% the previous quarter. Annual 2025 growth stood at 5.1% yoy, slightly better than our forecast 5.0%. Confidence indices improved late last year, helped by higher public-sector spending, welfare measures, firm loan growth, and a pickup in demand for services. These drivers were reflected in private consumption rising 5% yoy, alongside a 6% yoy increase (vs 5% in 3Q) in gross fixed capital formation. Under fixed capital formation, heavyweight buildings & structures (3.7% yoy from 3%) quickened on a pickup in construction activity, as well as machine & equipment up 22% yoy from 17% in 3Q, both of which signal strong public sector investments. The contribution of net exports narrowed as a pickup in exports (goods & services) was offset by a concurrent beat on import growth (see chart).

Indonesia: breakdown of GDP growth



Source: CEIC, DBS

The industry breakdown pointed to a firm finish in services (see chart), including accommodation & food beverages, information & communication, education, and transportation & storage, part of which also symbolises the shift in demand from goods to services. Market-driven volatility, however, persisted with the currency maintaining a depreciating bias and bond yield off lows in 4Q25, limiting incremental policy transmission.



Source: CEIC, DBS

Looking ahead

Investment and consumption activity are likely to be supported by a low base effect, particularly from a change in the religious observance period (mid-Feb26 to mid-Mar26 vs Mar25 last year) in the first quarter of 2026. Demand usually also benefits before Lebaran, as well as the disbursement of the Religious Holiday Allowance (THR). The government also unveiled an IDR12.8trn fiscal stimulus package for Ramadan in Feb-Mar.

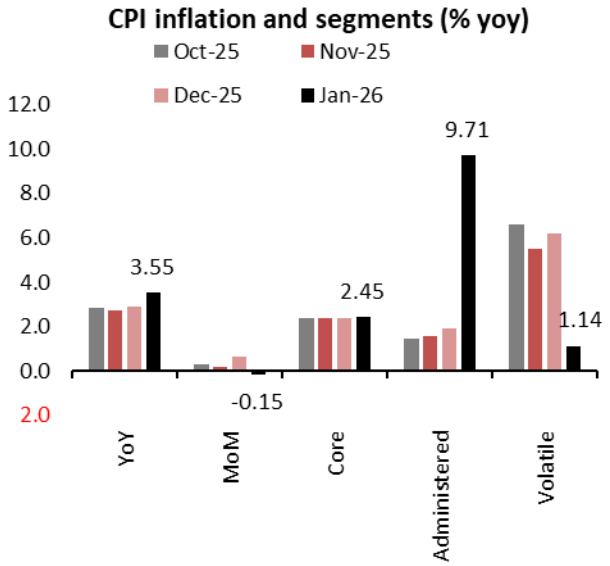
Sentiments might be temporarily hampered by recent volatility in the capital markets, but are likely to stabilise on corrective measures. **Indonesia's authorities continue to initiate steps** to boost stock market transparency while actively engaging with index provider MSCI. Besides large scale leadership reshuffle in the securities regulator OJK and the stock exchange, other changes have included an increase in the minimum free float level, assurances of more detailed and timely ownership data, regular updates and dialogue with the MSCI/market participants, efforts to broaden institutional involvement via higher participation of pension & insurance funds as well as the state investment agency in the equity market and acceleration of demutualisation of the stock exchange. While few of these will take time to be rolled out, our view is that a concrete roadmap and meaningful progress of near- and medium-term changes would help to meet the index provider's requirements ahead of the May 2026 deadline. Additionally, **external trade** is expected to support growth (see next section for details).

We revise 2026 growth up modestly to 5.3% from the previous 5.2%, assuming fiscal spending remains apace, sentiments benefit once capital market volatility subsides and monetary conditions stay accommodative.

Warm inflation, supportive trade balance

Inflation

January CPI inflation ticked up to nearly a three-year high at 3.6% yoy from an average 1.9% yoy in 2025, driven up by base effects (electricity tariffs were cut the same time last year).



Source: CEIC, DBS

Source: CEIC, DBS

This is reflected in the sharp 9.7% yoy increase in the administered prices in the month, while other categories remain at steady to weaker levels. Precious metals, meanwhile, continued to maintain a strong beat (up 15.2% in Jan 26 vs 13% month before). **Core inflation** was steady at 2.5% yoy, though excluding gold, the core-core reading was benign at 1.3% yoy, signaling slack in the economy.

Passage of base effects is expected to normalise inflation 2Q onwards. **We revise full-year 2026 CPI Inflation 2.8% yoy from 2.5% previously, still within the central bank's target 1.5-2.5% range.**

Goods trade

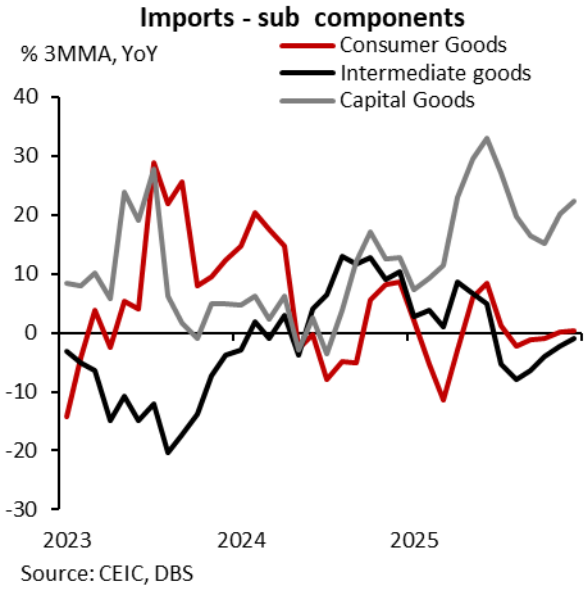
Beating expectations, Dec25 exports rose 11.6% yoy, owing to larger shipments of palm oil, nickel, and other electrical components. Imports rose 10.8%, leaving a reasonable trade surplus at $2.5bn in December.

Annual 2025 goods exports registered a 6% yoy rise, characterised by a firmer 1H and a softer 2H due to the passage of front-loaded demand, outpacing imports at 2.8%. China remained the largest export destination, with a share of 24%, helped by higher sales of iron & steel, mineral fuels and nickel, followed by the US (11.5%), notwithstanding higher tariffs, India (6.8%), ASEAN (19%), and the EU (7.2%).

Indonesia's authorities are reportedly in discussions with the US to secure a few exemptions, especially for commodities. Notably, exports to the US have remained resilient despite the tariff rates coming into effect in the second half of the year. Sep-Dec25 exports to the US averaged 9.9% yoy (see chart below), better than 3% to the rest of the world (ex US). The pace of shipments to China also moderated to 4% yoy. As the chart below shows, firmer exports of key commodities have continued to support export performance, while labour-intensive sectors have lagged the broader upmove. **One monitorable** is any fresh regulations on exports of these commodity groups, especially nickel, gold, copper, etc., which could impinge on the 2026 performance.

On imports, China remained the main source of imports as well, ahead of Japan and the US. Purchases of the heavyweight intermediate goods was largely flat on the year, while capital goods witnessed a strong upturn, likely perked by higher government capex spend. Total expenditure (centre and regional transfers) is expected to grow by 11.3% in 2026 (realised 2025 vs budgeted 2026).

Factoring in global developments and tariffs, we expect Indonesia's goods trade balance to narrow by a tenth but stay in black in 2026.



Macro stability

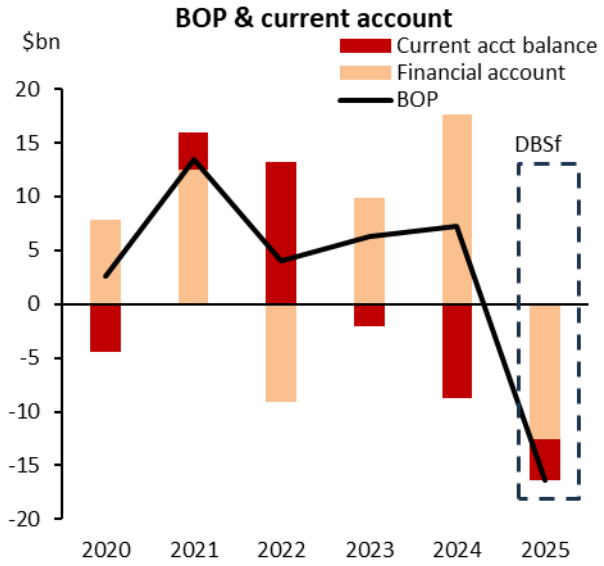
Policy is likely to walk a tightrope in 2026, vying to stimulate growth while maintaining overall macro and financial market stability.

Current account

On a quarterly basis, the 4Q25 current account balance is likely to return to a modest deficit over a narrower goods trade surplus. While the current gap will be contained below -0.5% of GDP, capital flows will fall short of financing needs, particularly due to a negative portfolio flows picture, pushing the full-year balance of payments into the red for the first time in six years.

Looking ahead, factoring in our forecast of a narrower trade balance in 2026, we expect the current account deficit to average -0.7% of

GDP, with much attention on the strength of financing flows.



Source: CEIC, DBS

Fiscal health

Preliminary fiscal numbers showed the 2025 annual deficit widening to IDR 695trn, i.e., -2.92% of GDP, just shy of the mandatory -3.0% of GDP threshold, primarily due to a shortfall in revenues. State total revenues contracted 3.3%yoy owing to implementation issues impacting the core tax , cancellation of the VAT rate increase, soft commodity prices, and the reallocation of SOE dividends, etc. Spending kickstarted the year on a slower note, facing austerity cuts, but accelerated in the second half as the new Finance Minister pointed to an expansionary fiscal tilt. Add to these, allocations towards the flagship MBG scheme (IDR 52trn vs budgeted IDR71trn) and other social welfare programs caught momentum as the year went by. The government also launched four stimulus packages worth ~0.5% of GDP. Fiscal concerns have amplified the exogenous headwinds already facing the currency this year.

Preliminary numbers for Jan26, cited by the Finance Ministry, showed a 20.5% jump in tax revenues, helped by a low base in the comparable year ago period. Projecting the deficit at -2.68% of GDP, the government has factored in an expenditure increase of 11.3% yoy in 2026 (vs preliminary 2025) to accommodate welfare spending plans, including a sharp increase in the allocation towards the free meal program (IDR 335trn to reach ~82.9mn beneficiaries), defence and support to regional governments.

State revenues are projected to rise by 14% yoy, helped by 21% increase in tax receipts, while non-tax collections might slip. An increase in direct tax rates is unlikely, aside from a deferral of the VAT rate increases. An export tax on gold might be accompanied by a similar tax on coal exports. We await clarity on this count. **For the year, the fiscal stance will remain expansionary but within the -3% of GDP cap**. We maintain our call for -2.9% of GDP, assuming a slower-than-budgeted rollout of spending and softer revenues.

While monetary policy is likely to remain aligned with the accommodative fiscal stance, rupiah underperformance amid a pickup in inflation and steady growth might keep the BI from lowering rates aggressively this year. Our baseline call is for 50bp more cuts this year, but likely in the second half. The two factor to monitor are the rupiah's direction and the scale of the US Fed's easing, contingent on global macro conditions and the scheduled change in the US Fed Chair in mid-May.

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